

NIFTY 50 RBI MONETARY POLICY (MPC) DRIFT SYSTEM

A Quantitative Pre- & Post-Policy Drift Execution Model across 162 MPC Events (2000–2026)

EXECUTIVE SUMMARY & CORE MANDATE

This note presents the quantitative backtest performance and execution playbook for the Nifty 50 RBI Monetary Policy Drift System. The strategy captures the systematic pre-decision positioning and post-decision digestion drift around scheduled RBI MPC announcements across the Nifty 50 futures universe. Over 162 policy events (2000–2026) the basket delivers an average **61.7% win rate** on stock-specific optimal windows, with the cleanest edge on **Hike** decisions.

MPC Events Analysed	162 (2000–2026)	Nifty 50 Avg Win Rate (optimal window)	61.7%
Nifty 50 Median Return / Event	+0.85%	Best Policy Scenario (by win rate)	Hike (65.9%)
Rate Cut Events	44 · win 56.8% · T-1 to T+1	Rate Hike Events	41 · win 65.9% · T+1 to T+5
Status-Quo Events	75 · win 60.0% · T+0 to T+5	Aggregate Optimal Window (All)	T+0 to T+5 · win 56.8%
Next MPC Decision	09-Oct-2026 (Friday 10:00 AM)	Upcoming Playbook	50 Nifty 50 stocks (33 LONG / 17 SHORT)
Upcoming Playbook Net P&L (1 lot/stock, modelled)	+₹3,191,227	Scope	Nifty 50 Futures · pre/post-MPC drift

1. Core Algorithmic Logic — Buy-Before / Sell-After MPC Model

The system is **non-predictive positioning around a scheduled regulatory event**. Rather than forecasting the rate action, it anchors to the RBI MPC decision day T and uses each stock's multi-cycle base rate to enter ahead of the announcement and exit after the post-decision drift completes.

The Two-Leg Trade Structure

- Leg 1 — Buy Before:** enter N trading days before decision day T at 09:20 AM, as institutions position into the policy.
- Leg 2 — Hold Through & Sell After:** hold across the decision and exit M trading days after T at 03:15 PM, capturing the full post-policy drift.

Trade Return: $\text{Return}_i = ((P_{\text{exit}, T+M} - P_{\text{entry}, T-N}) / P_{\text{entry}, T-N}) \times \text{Direction}_i$, where Direction = +1 (LONG) or -1 (SHORT), and T is the NSE trading day of the RBI MPC decision.

2. Performance & Risk Measures

Formal performance and risk statistics for the MPC drift strategy across the 162-event backtest (2000–2026). The edge is **stock-specific and directional** (each Nifty 50 name traded LONG/SHORT on its own window); the raw long-only index is shown as a conservative floor. Scenario-level Sharpe is detailed in Section 3.

A. Strategy Performance — 50-Stock Cross-Section (each stock's optimal window, 162 events)

Avg Stock Win Rate	61.7%	Median Stock Win Rate	59.3%
Win-Rate Range (50 names)	54.3% – 85.8%	Names ≥ 60% / ≥ 50% Win Rate	23 / 50 of 50
Avg Median Return / Event	+0.85%	Median Return Range	+0.13% – +4.32%

B. Index Optimal Window — Risk Statistics (window T+0 to T+5, n=162)

Window Win Rate (95% CI)	56.8% (49.1–64.2%)	Avg / Median Return	+0.19% / +0.62%
Return Std / Sharpe (per-event)	3.53% / 0.05	Best / Worst Single Event	+19.0% / -19.9%

C. Announcement-Day Robustness (single-day Nifty futures move, n=159)

Day Win Rate	50.3%	Avg / Std of Day Move	-0.02% / 1.92%
Best / Worst Single Day	+10.1% / -12.8%	Max Drawdown / Longest Streak	-26.6% / 9 events

Read: all 50 names clear a 50% base rate on their own window (mean 61.7%); **Hike** decisions have the best risk-adjusted profile (Sharpe 0.11). The index Sharpe is per-event (not annualised, as MPC events are ~6–8 correlated same-day baskets/yr). High single-day noise (std 1.92%, -26.6% drawdown) is why the model holds a multi-day window rather than the announcement day alone.

3. Policy-Scenario Performance Breakdown (2000–2026)

Nifty index behaviour across all 162 RBI Monetary Policy Committee (MPC) decisions, segmented by policy action. "Day win rate" is the single announcement-day hit rate; the optimal window is the best empirically-derived pre/post-decision holding window for that scenario.

Policy Scenario	Events	Day Win Rate	Optimal Window	Window Win Rate	Avg Return	Std Dev	Sharpe	Avg Intraday Range
All Policy Events	162	50.3%	T+0 to T+5	56.8%	+0.19%	3.53%	0.05	1.93%
Rate Cut	44	45.5%	T-1 to T+1	56.8%	+0.39%	3.29%	0.12	2.24%
Rate Hike	41	51.2%	T+1 to T+5	65.9%	+0.28%	2.45%	0.11	1.97%
Status Quo	75	53.3%	T+0 to T+5	60.0%	+0.56%	3.04%	0.18	1.70%

Read: Rate-hike and status-quo decisions show the cleanest post-decision drift (win rates 66% / 60% on their optimal windows), while rate cuts are the most volatile (avg intraday range 2.24%).

4. Top 10 Nifty 50 Stocks by MPC Base Rate

Each stock's optimal pre/post-MPC window and win rate is calibrated against its own history across all 162 policy events. The ten most consistent Nifty 50 names (by all-event win rate):

Rank & Symbol	Sector	Optimal Window	All-Event Win Rate	Median Return	Best Scenario
1. HDFCLIFE	Banking & Financials	T+1 to T+5	85.8%	+4.32%	RATE CUT (98%)
2. LTIM	Information Technology	T+0 to T+1	84.0%	+0.34%	RATE CUT (91%)
3. NESTLEIND	FMCG & Consumption	T+0 to T+5	75.3%	+0.76%	RATE CUT (89%)
4. BAJAJFINSV	Banking & Financials	T+0 to T+5	70.4%	+1.29%	RATE CUT (86%)
5. ADANIPORTS	Telecom & Logistics	T+0 to T+5	69.1%	+2.25%	RATE CUT (77%)
6. DIVISLAB	Healthcare & Pharma	T+0 to T+3	68.5%	+0.82%	RATE CUT (84%)
7. LT	Cement & Construction	T+0 to T+3	67.3%	+0.85%	RATE HIKE (76%)
8. M&M	Automobile & Auto Components	T-3 to T+5	66.7%	+2.04%	STATUS QUO (73%)
9. TITAN	Consumer Durables & Retail	T-2 to T+5	66.0%	+1.91%	STATUS QUO (75%)
10. ULTRACEMCO	Cement & Construction	T+0 to T+5	66.0%	+1.19%	RATE CUT (82%)

5. Detailed Position-Taking Log — Upcoming MPC (09-Oct-2026)

Full 50-stock Nifty 50 futures execution plan for the upcoming policy decision, ranked by historical win rate. Entry at 09:20 AM on day T–N, exit at 03:15 PM on day T+M (T = MPC decision day), one lot per stock. Book: **33 LONG / 17 SHORT**. (Ranks 1–25; continued next page.)

Symbol	Sector	Dir	Window	Entry	Exit	Win Rate	Avg Ret	Lot
ETERNAL	Diversified / Others	LONG	T-2 to T+4	07-Oct	15-Oct	83.3%	+4.34%	500
TECHM	IT & Tech Services	LONG	T-8 to T+8	28-Sep	22-Oct	83.3%	+1.81%	600
COALINDIA	Metals & Mining	LONG	T-8 to T+3	28-Sep	14-Oct	83.3%	+1.76%	2,100
TRENT	Consumer Durables & Retail	LONG	T-1 to T+8	08-Oct	22-Oct	75.0%	+4.85%	100
SHRIRAMFIN	NBFC & Fintech	LONG	T-2 to T+5	07-Oct	16-Oct	75.0%	+2.77%	600
CIPLA	Pharma & Healthcare	LONG	T-2 to T+8	07-Oct	22-Oct	75.0%	+1.70%	650
JSWSTEEL	Metals & Mining	LONG	T-2 to T+8	07-Oct	22-Oct	75.0%	+2.11%	675
HCLTECH	IT & Tech Services	LONG	T-1 to T+3	08-Oct	14-Oct	75.0%	+1.80%	350
BAJAJ-AUTO	Automobile & Auto Ancillaries	LONG	T-8 to T+2	28-Sep	13-Oct	75.0%	+0.85%	75
BEL	Capital Goods & Infrastructure	LONG	T-3 to T+8	06-Oct	22-Oct	66.7%	+3.67%	2,850
M&M	Automobile & Auto Ancillaries	LONG	T-7 to T+1	29-Sep	12-Oct	66.7%	+1.70%	350
AXISBANK	Banking & Finance	LONG	T-8 to T+8	28-Sep	22-Oct	66.7%	+1.64%	625
ONGC	Oil, Gas & Energy	SHORT	T-8 to T+1	28-Sep	12-Oct	66.7%	+0.55%	3,850
BAJFINANCE	NBFC & Fintech	LONG	T-3 to T+8	06-Oct	22-Oct	66.7%	+1.87%	125
MAXHEALTH	Pharma & Healthcare	LONG	T-8 to T+5	28-Sep	16-Oct	58.3%	+6.04%	500
BHARTIARTL	Diversified / Others	LONG	T-1 to T+3	08-Oct	14-Oct	58.3%	+1.38%	475
SBIN	Banking & Finance	LONG	T-7 to T+2	29-Sep	13-Oct	58.3%	+1.69%	750
APOLLOHOSP	Pharma & Healthcare	LONG	T-8 to T+8	28-Sep	22-Oct	58.3%	+1.32%	125
NTPC	Oil, Gas & Energy	LONG	T-5 to T+4	01-Oct	15-Oct	58.3%	+1.31%	1,500
HINDUNILVR	FMCG & Consumer Goods	SHORT	T-2 to T+1	07-Oct	12-Oct	58.3%	+0.29%	300
EICHERMOT	Automobile & Auto Ancillaries	LONG	T-4 to T+1	05-Oct	12-Oct	58.3%	+0.39%	175
WIPRO	IT & Tech Services	LONG	T-8 to T+3	28-Sep	14-Oct	58.3%	+0.61%	1,500
NESTLEIND	FMCG & Consumer Goods	SHORT	T-3 to T+4	06-Oct	15-Oct	58.3%	+0.11%	250
TATACONSUM	FMCG & Consumer Goods	LONG	T-3 to T+8	06-Oct	22-Oct	58.3%	-0.52%	900
ULTRACEMCO	Diversified / Others	LONG	T-8 to T+8	28-Sep	22-Oct	50.0%	+1.04%	100

5. Detailed Position-Taking Log — Upcoming MPC, continued

Ranks 26–50 of the upcoming MPC execution plan.

Symbol	Sector	Dir	Window	Entry	Exit	Win Rate	Avg Ret	Lot
SBILIFE	Insurance	LONG	T-2 to T+4	07-Oct	15-Oct	50.0%	+1.19%	500
BAJAJFINSV	NBFC & Fintech	LONG	T-4 to T+8	05-Oct	22-Oct	50.0%	+0.64%	500
ICICIBANK	Banking & Finance	LONG	T-8 to T+8	28-Sep	22-Oct	50.0%	+0.38%	700
POWERGRID	Oil, Gas & Energy	LONG	T-8 to T+8	28-Sep	22-Oct	50.0%	+0.85%	1,900
SUNPHARMA	Pharma & Healthcare	LONG	T-4 to T+5	05-Oct	16-Oct	50.0%	+0.12%	350
TATASTEEL	Metals & Mining	LONG	T-8 to T+1	28-Sep	12-Oct	50.0%	-0.46%	5,500
ITC	FMCG & Consumer Goods	SHORT	T-5 to T+2	01-Oct	13-Oct	41.7%	+1.11%	1,600
MARUTI	Automobile & Auto Ancillaries	LONG	T-8 to T+4	28-Sep	15-Oct	41.7%	+0.74%	50
ASIANPAINT	Consumer Durables & Retail	SHORT	T-3 to T+3	06-Oct	14-Oct	41.7%	-0.17%	200
KOTAKBANK	Banking & Finance	SHORT	T-3 to T+2	06-Oct	13-Oct	41.7%	-1.00%	400
DRREDDY	Pharma & Healthcare	SHORT	T-8 to T+2	28-Sep	13-Oct	41.7%	-1.16%	125
RELIANCE	Oil, Gas & Energy	SHORT	T-3 to T+1	06-Oct	12-Oct	41.7%	-0.67%	250
INFY	IT & Tech Services	SHORT	T-3 to T+1	06-Oct	12-Oct	41.7%	-0.94%	400
HDFCBANK	Banking & Finance	SHORT	T-1 to T+8	08-Oct	22-Oct	41.7%	-1.59%	550
INDIGO	Diversified / Others	SHORT	T-1 to T+8	08-Oct	22-Oct	41.7%	-1.04%	150
LT	Capital Goods & Infrastructure	LONG	T-5 to T+4	01-Oct	15-Oct	41.7%	-0.78%	150
TMPV	Diversified / Others	SHORT	T-4 to T+4	05-Oct	15-Oct	41.7%	-0.74%	500
ADANIPORTS	Diversified / Others	LONG	T-5 to T+5	01-Oct	16-Oct	33.3%	+2.04%	400
HINDALCO	Metals & Mining	SHORT	T-5 to T+1	01-Oct	12-Oct	33.3%	+0.46%	1,400
ADANIENT	Diversified / Others	LONG	T-7 to T+8	29-Sep	22-Oct	33.3%	+0.38%	300
TCS	IT & Tech Services	LONG	T-8 to T+8	28-Sep	22-Oct	33.3%	-0.56%	175
HDFCLIFE	Insurance	SHORT	T-3 to T+8	06-Oct	22-Oct	33.3%	-2.13%	1,100
JIOFIN	NBFC & Fintech	SHORT	T-8 to T+5	28-Sep	16-Oct	33.3%	-1.75%	2,400
GRASIM	Diversified / Others	SHORT	T-8 to T+4	28-Sep	15-Oct	25.0%	-1.10%	250
TITAN	Consumer Durables & Retail	SHORT	T-2 to T+1	07-Oct	12-Oct	25.0%	-1.30%	175

6. Capital Deployment, Margin Rules & Execution Playbook

1. Anchor & Non-Predictive Positioning

T is the RBI MPC **decision/announcement day** (09-Oct-2026 (Friday 10:00 AM)). The model does not forecast the rate action — it positions around the scheduled decision using each stock's empirical pre/post-decision drift, and tilts the window by scenario (cut / hike / status-quo) where history warrants.

2. Execution Timings

- **Entry:** 09:20 AM on trading day T–N (limit / market-at-open).
- **Exit:** 03:10–03:25 PM on trading day T+M, marking the full post-decision drift.

3. Position Sizing & Margin

Real NSE futures lot sizes, one lot per stock; 20% SPAN + Exposure initial margin per position.

4. Options Alternative & Stop-Loss

For capital-efficient deployment, buy near-month ATM/ITM Calls (LONG bias) or Puts (SHORT bias), capping risk to premium paid. Hard stop-loss of –3.5% on spot guards against outlier policy-shock reversals.

7. Institutional Conclusion & Next Steps

Across 162 MPC events (2000–2026), the Nifty 50 basket shows a repeatable post-decision drift — average **61.7%** win rate on stock-specific optimal windows, strongest on **Hike** outcomes (65.9%). The modelled upcoming playbook (1 lot/stock) carries **+₹3,191,227** expected P&L.

Recommendations

- Stage entries into the **09-Oct-2026 (Friday 10:00 AM)** decision per each stock's calibrated T–N lead.
- Prioritise the Section 3 base-rate leaders; lean into rate-hike / status-quo post-drift windows.
- Maintain automated 09:20 AM entry / 03:15 PM exit execution and the –3.5% spot stop-loss.